

RESOLUTION NO. _____

ENTITLED: " A RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD FOR A LOAN FROM THE WYOMING DRINKING WATER STATE REVOLVING FUND FOR THE HYPOCHLORITE GENERATION PROJECT IN THE AMOUNT OF FOUR MILLION DOLLARS AND AUTHORIZING THE DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED DOCUMENTS."

WHEREAS, Wyoming Statute 15-7-401, provides for a Board of Public Utilities (the "Board") to manage, operate, maintain and control municipal waterworks, sanitary sewer system and sewage disposal plants;

WHEREAS, in accordance with state statute, Section 2.68.010 of the city code established the Board to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewage System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities;

WHEREAS, the existing chlorine gas disinfection system at the RL Sherard Water Treatment Plant (the "WTP") uses chemicals that would be hazardous to staff and adjacent properties in the event of a leak, and are subject to volatile chemical and transportation costs;

WHEREAS, the Board desires to pursue the Hypochlorite Generation project (the "Project") to replace the existing chlorine gas disinfection process at the WTP with an onsite sodium hypochlorite generation system;

WHEREAS, the Project cost estimate for equipment procurement and construction costs is approximately five million dollars (\$5,000,000.00);

WHEREAS, the Project has been awarded a one million dollar (\$1,000,000.00) American Rescue Plan Act grant;

WHEREAS, a four million dollar (\$4,000,000.00) loan from the Wyoming Drinking Water State Revolving Fund is subject to a loan origination fee of five-tenths percent (0.5%), which is estimated to amount to twenty thousand dollars (\$20,000.00);

WHEREAS, the Board and the Governing Body of the City of Cheyenne recognizes that the annual principal and interest payment on the proposed loan will be approximately two hundred thirty-two thousand nine hundred eighty-two dollars and ninety-four cents (\$232,982.94);

WHEREAS, the Board and the Governing Body of the City of Cheyenne are committed to repaying the loan from revenue from the Water Enterprise Fund; and

WHEREAS, the Board recognizes that the Project is necessary to increase resiliency in water treatment, improve public safety related to storing and handling chlorine gas, reduce greenhouse gas emissions with fewer truck deliveries to the WTP, and utilize the renewable energy source from the hydropower generator located at the WTP.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the Board of Public Utilities may submit an application on behalf of the City of Cheyenne to the Wyoming State Loan and Investment Board for a loan from the Wyoming Drinking Water State Revolving Fund for an amount not to exceed four million dollars (\$4,000,000) for Project costs such as, but not limited to, engineering services, construction, administration, and all related costs of the Hypochlorite Generation Project; and

BE IT FURTHER RESOLVED, that the Mayor, the City Clerk, and the Director of the Board of Public Utilities are hereby designated as the authorized representatives of the City of Cheyenne to act on behalf of the City of Cheyenne in all matters related to this application and related documents, including any amendments to the Project Agreement.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2024.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk

Elizabeth Shaw

Date: 05/13/2024

BOPU RESOLUTION NO. 2024-08

Entitled: A RESOLUTION AUTHORIZING SUBMISSION OF AN APPLICATION TO THE WYOMING STATE LOAN AND INVESTMENT BOARD FOR A LOAN FROM THE WYOMING DRINKING WATER STATE REVOLVING FUND FOR THE HYPOCHLORITE GENERATION PROJECT IN THE AMOUNT OF \$4,000,000.00 AND AUTHORIZING THE DIRECTOR OF THE BOARD OF PUBLIC UTILITIES TO EXECUTE THE APPLICATION AND ALL RELATED DOCUMENTS.

WHEREAS, Wyoming Statute 15-7-401, provides for a Board of Public Utilities (BOARD) to manage, operate, maintain and control municipal waterworks, sanitary sewer system and sewage disposal plants; and

WHEREAS, Cheyenne City Code, Section 2.68.010, established such a BOARD to have exclusive authority to manage, operate, maintain and control the Cheyenne Municipal Waterworks, Sanitary Sewage System and Sewage Disposal Plants of the City and to make all rules and regulations necessary for the safe, economical and efficient operation and maintenance of the above facilities; and

WHEREAS, the existing chlorine gas disinfection system at the RL Sherard Water Treatment Plant (WTP) uses chemicals that are hazardous to staff and adjacent properties in the event of a leak, and is subject to volatile chemical and transportation costs; and

WHEREAS, the BOARD desires to pursue the Hypochlorite Generation project (PROJECT) to replace the existing chlorine gas disinfection process at the WTP with an onsite sodium hypochlorite generation system; and

WHEREAS, the PROJECT cost estimate for equipment procurement and construction costs is approximately \$5,000,000.00; and

WHEREAS, the PROJECT has been awarded a \$1,000,000.00 ARPA grant; and

WHEREAS, a \$4,000,000.00 loan from the Wyoming Drinking Water State Revolving Fund is subject to a loan origination fee of 0.5 percent, which is estimated to \$20,000.00; and

WHEREAS, the Board and the Governing Body of the City of Cheyenne recognizes that the annual principal and interest

payment on the proposed loan will be approximately \$232,982.94;
and

WHEREAS, the BOARD is committed to repaying the loan from revenue from the Water Enterprise Fund; and

WHEREAS, the BOARD recognizes that the PROJECT is necessary to increase resiliency in water treatment, improve public safety related to storing and handling chlorine gas, reduce greenhouse gas emissions with fewer truck deliveries to the WTP, and utilize the renewable energy source from the hydropower generator located at the WTP.

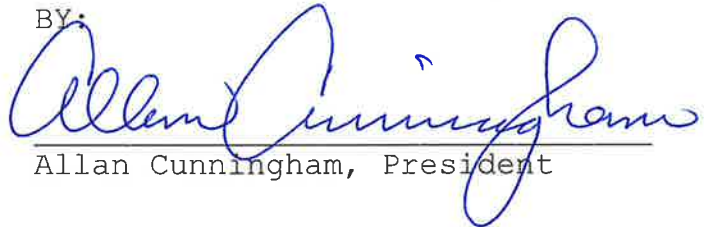
NOW, THEREFORE, BE IT RESOLVED BY THE BOARD OF PUBLIC UTILITIES OF THE CITY OF CHEYENNE, that an application be submitted to the Wyoming State Loan and Investment Board for a loan from the Wyoming Drinking Water State Revolving Fund for an amount not to exceed \$4,000,000 for Project costs such as, but not limited to, engineering services, construction, administration, and all related costs of the Hypochlorite Generation Project; and

BE IT FURTHER RESOLVED, that the Director of the Board of Public Utilities is hereby designated as the authorized representatives of the City of Cheyenne to act on behalf of the City of Cheyenne in all matters related to this application and related documents, including any amendments to the Project Agreement.

PRESENTED, READ AND ADOPTED this 20th day of May,
2024.

BOARD OF PUBLIC UTILITIES

BY:


Allan Cunningham, President

(SEAL)

ATTEST:


Keith Zabka, Secretary